Diploma in Leadership & Management

Organisational design

Contents

Lesson outcomes

The student will be able to understand the fundamentals of organisational design. Students should be able to further investigate the effectiveness of their own organisation. Organisational designs of famous companies should be researched by the students.

Introduction

We see cases where companies have amazing employees, resources and a great product or service. Yet the company is struggling to find their feet and reach their strategic goals. Well that is where organisational design comes in. This lesson will give you the insight to understand if your current organisational design is helping your company or hindering the company's overall operations. Organisational design gives you an edge as a manager or leader. It gives you the insight to holistically look at a company and evaluate the inner workings of the company

Key reading materials:

- **https://www.youtube.com/watch?v=41v3PENTEXw&t=54s**
- **https://www.youtube.com/watch?v=6P0hw3Q1imI**
- **https://www.strategy-business.com/article/00318?gko=31dee**

Organisational design types

According to (BBA Mantra , n.d.) we will look at the following types of organisational design and the pros and cons of each type.

Functional organisation

This is by far the most widespread form of organizational structure. It creates a very clear hierarchy, with the CEO/general manager at the very top, and department managers immediately below.

Pros

In this type of organization, the chain of command is very clear. Everyone knows their responsibilities and limits of authority. Also, each role in the organization is highly specialized: marketing managers, product development managers and sales managers are very skilled professionals, with in-depth knowledge of their field of work.

Cons

One of the strong points of this model can also be the weakest one: due to high specialization of each role, the organization becomes inflexible, with little possibility of promoting employees to a higher role in another department. Since the managerial positions in their own department are filled, the employees may feel less motivated to perform, because there is no higher position they can aspire to fill.

Geographical Organisational Structure

Large companies that operate at global level use this form of organization, creating an independent hierarchical structure for each territorial unit. Thus, the group's CEO supervises geographical divisions — North America, EMEA, and Asia-Pacific — and each division has its own manager and sub-divisions (sales, marketing, financial, etc.).

Pros

In this type of organizational structure, each geographical division has a degree of independence in adapting the business model to the specifics of the market it serves. Doing business in Japan is very different from doing business in France or Australia, for instance. There are written and unwritten courtesy and business rules which must be taken into account in order to be successful in negotiations and other business dealings.

Cons

Too much decentralization may lead to difficulties in implementing new policies decided at the corporate headquarters, as well as lack of uniformity in preparing financial, marketing and sales reports. Each division tends to become a small world unto itself which leaves little room for workforce mobility, especially at leadership level. Each leader becomes highly specialized in a specific area and finds it hard to adapt to new customs and business conducts.

Product Organizational Structure

When a company has distinct ranges of products, creating organizational structures around each product can prove beneficial. Each department is vested in making the product a success and develops a high degree of specialization, with in-depth market and customer knowledge.

Pros

The top level management has a clear view of the productivity and profit of each different product line. Thus, if one product is no longer considered viable for the market, the CEO can shut down the entire department working on it, without any negative effects on the other departments. Also, the product department managers have a degree of independence in decision making for their specific product.

Cons

The most visible downside is the unhealthy competition that could develop between departments. Instead of communication and collaboration, each department might jealously guard the market and consumer data they obtained. Thus, it may be impossible for top management to note certain market trends, which would be obvious if all the departments put together the data they collect and process

Companies with flat organisational structures:

The following reviews are stated by (Enterprise Management 360 , n.d.)

Squarespace

Squarespace is a successful technology startup which is frequently identified as one of the best places to work in New York. Here, the company culture is open, flat, and creative, with very few management levels between staff and their executives. Squarespace uses its structure to encourage creative thinking and work among its team members.

The company also stands out as one of the leading companies in organisational structure today, thanks to offering 100% health insurance premium coverage, flexible vacation benefits, and various other fantastic perks.

Facebook

Facebook is frequently mentioned in lists of companies with exceptional company culture. One reason that people love working for brand is its unique approach to the flat organisational structure. Facebook believes that its flat structural strategy helps to reduce the risks of an otherwise potentially stressful and competitive tech-focused workplace.

The free and organic organisation structure includes having management and team leaders working in the very same open office spaces as every other employee. Even CEO Mark Zuckerberg works in the same space as his staff.

Nike

Nike might be famous for its logo and unique footwear, but that’s not all that sets this company apart. The business has also made significant strides in workforce management too. Nike’s flat structure is particularly unique among companies that have been around as long as it has.

Nike's flat structure is based on the 'matrix' strategy, where everyone reports to the same global headquarters. However, the many divisions of Nike also can all operate almost independently within the overall Nike brand name. This allows Nike to be creative, while staying consistent with its values and missions.

Valve

Valve is one of the most notable organisations when it comes to those with a flat organisational structure. The company refers to its culture as 'flatland' and believes this structure is crucial to growth. Valve also strives to welcome innovative thinkers to form the crux of its teams.

The company has been operating boss-free since 1996. On its website, it does not refer to employee job titles. Instead, it lists employees according to their position in the alphabet. Additionally, anyone at Valve can join in on any project they're interested in.

Starbucks Case study:

This case study has been developed by (Meyer, n.d.)

Starbucks Coffee's Organizational Structure & Its Characteristics

A Starbucks café at the Shinbashi Yurikamome train station in Tokyo. Starbucks Corporation's (Starbucks Coffee Company) organizational structure evolves to support business growth in the global coffee and coffeehouse industry. (Photo: Public Domain)

Starbucks Corporation (Starbucks Coffee Company) uses its organizational structure to facilitate business development in the global coffee industry. As the largest coffeehouse chain in the world, the company maintains its industry leadership partly through the appropriateness of its corporate structure. A company's organizational or corporate structure influences all areas of the business, including management and leadership, communication, change strategies and management, and other variables critical to business success. Starbucks evolves to ensure that its organizational structure matches current business needs. For example, the company adjusted its corporate structure upon expanding its business through the acquisition of other firms, such as Ethos Water and Seattle's Best Coffee. Such adjustment makes Starbucks Corporation's organizational structure specific to the needs of the business. This structure fits within conventional typologies of organizational structures. Similar to the case of other multinational organizations, the company employs its structural characteristics to ensure that its operations are streamlined and properly managed.

Starbucks Coffee Company supports its competitive advantages through the characteristics of its corporate structure. These competitive advantages are essential in interacting with the industry environment, which involves the strong force of competition shown in the Porter's Five Forces analysis of Starbucks Corporation. The company competes against large and small coffeehouse businesses, as well as food service firms like McDonald's, Dunkin' Donuts, Wendy's, and Burger King. Through the effective design and development of its organizational structure, Starbucks Corporation keeps growing despite competitive pressure from these firms in the international market.

Starbucks Corporation's Organizational Structure Type and Characteristics

Starbucks has a matrix organizational structure, which is a hybrid mixture of different features from the basic types of organizational structure. In this case, the structural design involves intersections among various components of the business. For example, the company's product-based divisions intersect with functional groups and geographic divisions, which in turn intersect with other parts of the organization. The following are the main features of Starbucks Coffee's corporate structure:

- Functional hierarchy
- Geographic divisions
- Product-based divisions
- Teams

Functional Hierarchy

The functional hierarchy feature of Starbucks Coffee's organizational structure refers to grouping based on business function. For example, the company has an HR department, a finance department and a marketing department. These departments are most pronounced at the top levels of Starbucks's corporate structure, such as at the corporate headquarters. This characteristic is hierarchical. For example, the corporate HR department implements policies applicable to all of the company's cafés. The functional hierarchy of the corporate structure facilitates top-down monitoring and control, with the CEO at the top. Functional groups are responsible for the organization-wide development and implementation of Starbucks Corporation's generic competitive strategy and intensive growth strategies.

Geographic Divisions

Starbucks Coffee's corporate structure involves geographic divisions, which are based on physical location of operations. The company has three regional divisions for the global market: (1) Americas, (2) China and Asia-Pacific, (3) Europe, Middle East, and Africa. Also, in the U.S. market, Starbucks Coffee's organizational structure involves further geographic divisions: (a) Western, (b) Northwest, (c) Southeast, and (d) Northeast. Each geographic division has a senior executive. In this way, each local manager reports to at least two superiors: the geographic head (e.g. President of Europe, Middle East, and Africa Operations) and the functional head (e.g. Corporate HR Manager). This feature of Starbucks's corporate structure enables closer managerial support for geographic needs. Each division head is given flexibility in adjusting strategies and policies to suit specific market conditions.

Product-based Divisions

Starbucks has product-based divisions in its organizational structure. These divisions address product lines. For example, the company has a division for coffee and related products, another division for baked goods, and another division for merchandise like mugs. This feature of the corporate structure enables Starbucks to focus on product development. In this way, the company develops and innovates its products with support through its organizational structure. Such development provides competitiveness that the business needs, especially in considering the threats identified in the SWOT analysis of Starbucks Corporation.

Teams

Teams are used in different parts of Starbucks Coffee's organizational structure. However, teams are most visible at the lowest organizational levels, particularly at the coffeehouses. For example, in each café, the company has teams organized to deliver goods and service to customers. This feature of Starbucks's corporate structure enables the business to provide effective and efficient service to consumers. Team effectiveness is a major determinant of the financial performance of franchised locations and company-owned coffeehouses. Starbucks's corporate culture influences how such team effectiveness is achieved. The company's development depends on team-based factors and associated human resource management strategies.

Starbucks Corporation's organizational structure has many characteristics. However, the ones enumerated above are the most significant in shaping strategic management decisions in the business. Also, different levels of the organization are responsible for maintaining the integrity of the corporate structure. The structural characteristics identified are the ones that matter most at the corporate level, involving Starbucks's headquarters and executive direction.

Starbucks Coffee's Corporate Structure Development

Starbucks Corporation reforms its organizational structure over time. By 2007, the company was expanding rapidly, such that it shifted focus away from customers and toward strategic global expansion. However, the business experienced significant decline in sales in that year. This decline was worsened because of the lack of focus on customer experience. When Howard Schultz resumed the CEO position in 2008, he changed Starbucks Coffee's corporate structure to bring focus back onto customer experience. New regional divisions were created and teams at the company's cafés were given better training.

The current corporate structure of Starbucks is a result of reform to improve customer experience and business financial performance. The company recognizes the importance of strategic alignment involving various facets of the business. In this case, for example, aligning the corporate structure with trends in the coffee and coffeehouse industries stabilizes

Starbucks's market presence and market share. It is expected that the company's future organizational structure will involve additional product-based divisions to account for further diversification. Its development history suggests that the company will continue acquiring more firms in the future to support its growth strategies.

Your exercise

- Select any company of your choosing and investigate their organisational design. The design can be one type of like the above case study, the organisational design can be a mix.
- Use the above case study as a template for your answer:
    - Company introduction
    - Company organisational design type
        - Explain the pros and cons of the different approaches
    - Give your recommendation if you believe the company is using the correct organisational design type of if they should take another approach.

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